

FAN-TO-ARTIST ECONOMY

Web3 Direct-to-Fan & Music NFTs



AGENDA



1. INTRODUCTION BLOCKCHAIN IN THE MUSIC INDUSTRY

2. BLOCKCHAIN IN THE MUSIC INDUSTRY: REAL-WORLD APPLICATIONS

**3. MANAGERIAL APPLICATION: RESALE OF EVENT TICKETS
& NFT TICKET OPERATIONAL FLOW**

4. EFFICIENT UTILIZATION & LONG-TERM BENEFITS

**5. HOW SHOULD THE BLOCKCHAIN OPTIMIZE
THE PROCESS**





FROM BLOCKCHAIN TECHNOLOGY TO REAL ECONOMIC VALUE



1 Blockchain is being applied in many aspects of the music industry
Copyright → Royalty → Music NFT → Fan Engagement → Ticketing

The true value of blockchain lies in how it solves real problems and why it is better than traditional methods



INTRODUCTION BLOCKCHAIN IN THE MUSIC INDUSTRY (1/2)



Traditional Model Pain Points:

- ✓ Middleman Dominance: Artists receive only ~12% of total revenue \$43 billions.
- ✓ Opaque Copyrights: Ownership metadata is fragmented and unclear.
- ✓ Delayed Royalties: Payouts take 6–18 months through complex layers.

Blockchain Value Proposition:

- ✓ Public Transparency: Immutable on-chain ownership records.
- ✓ Digital Ownership: Verifiable digital assets for fans.
- ✓ Smart Contracts: Instant, automated royalty distribution.





INTRODUCTION BLOCKCHAIN IN THE MUSIC INDUSTRY (2/2)

- **Core Concept:**
 - Direct artist-to-fan connections via smart contracts, removing unnecessary gatekeepers.
- **Fan Role Shift:**
 - Old: Fan = Passive Consumer.
 - New: Fan = Active Participant & Co-owner.
- **Main Research Question:**
 - "How is blockchain applied in music, and what real industry problems does it genuinely solve?".



BLOCKCHAIN IN THE MUSIC INDUSTRY: REAL-WORLD APPLICATIONS (1/3)



Three projects, three applications



Music streaming

Decentralized music distribution



Music rights

Fan participation in music royalties



Ticketing

Blockchain-based tickets

Streaming → Music ownership → Concert ticketing





BLOCKCHAIN IN THE MUSIC INDUSTRY: REAL-WORLD APPLICATIONS (2/3)

How These Projects Use Blockchain?

Audius — Music Streaming

- Decentralized music platform
- Direct artist–fan connection
- 250M+ streams reported by 2025

Royal — Music NFTs

- Tokenized music royalty rights
- Fans can earn a share of royalties
- New artist revenue opportunities

GET Protocol — NFT Ticketing

- Verifiable ticket ownership
- Programmable resale rules
- Greater control over secondary sales



BLOCKCHAIN IN THE MUSIC INDUSTRY: REAL-WORLD APPLICATIONS (3/3)

Blockchain vs. Traditional Database

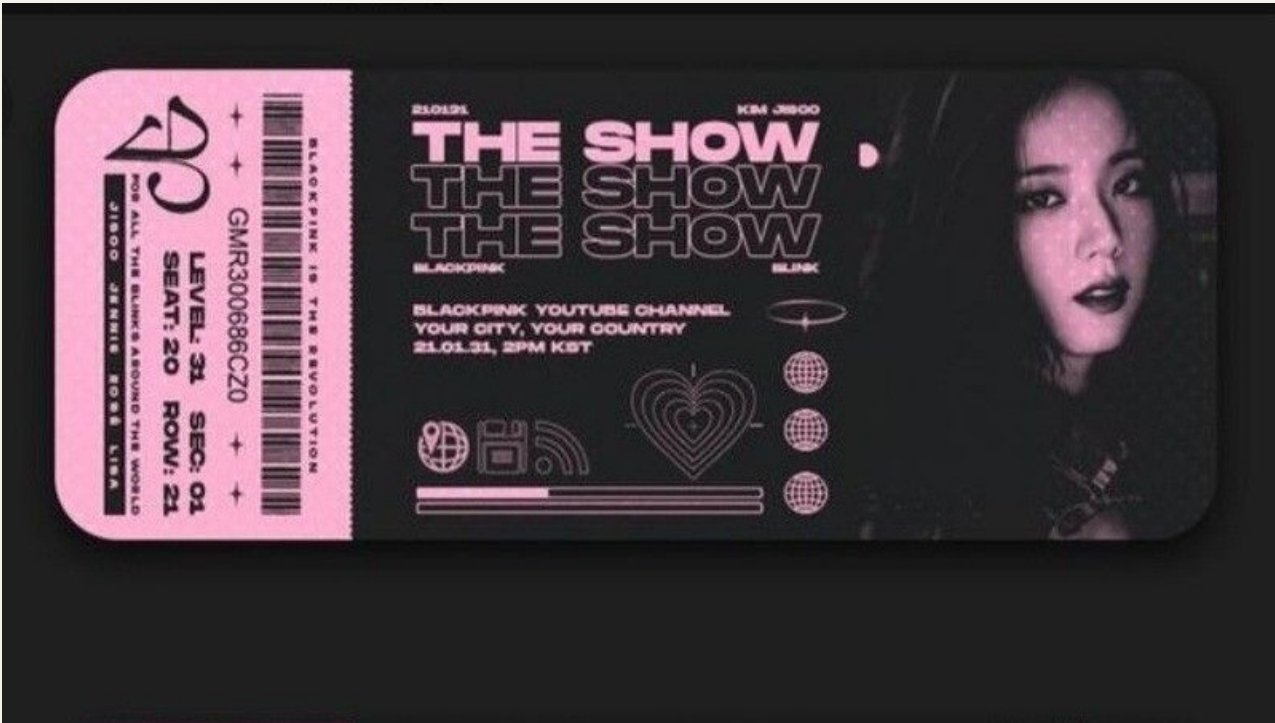
Traditional database	Blockchain
One central operator	Shared verification across parties
Operator-controlled records	Tamper-resistant transaction history
Platform-specific rules	Programmable, verifiable smart contracts
Usually simpler and cheaper	Additional costs & technical complexity



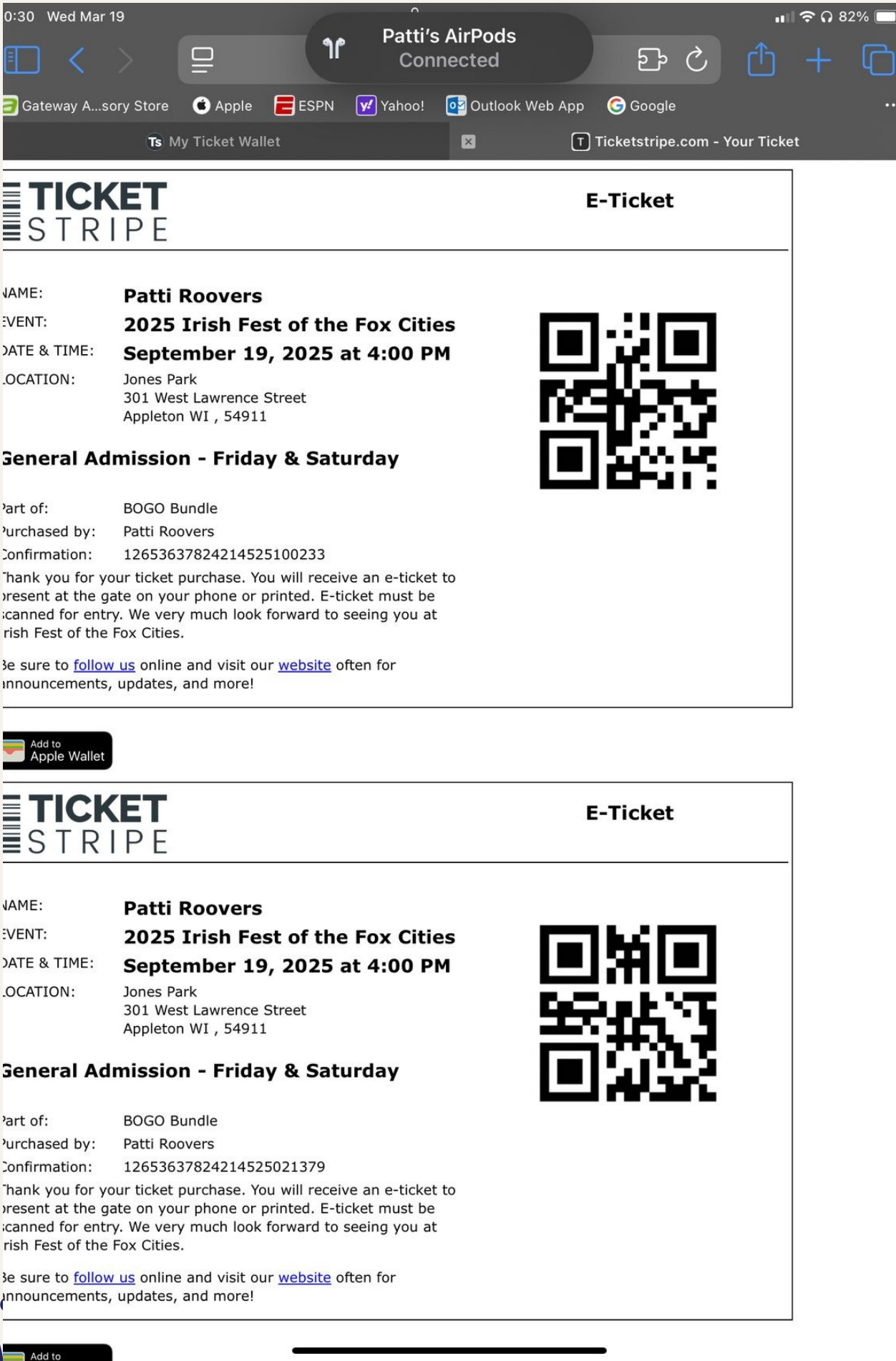
MANAGERIAL APPLICATION: RESALE OF EVENT TICKETS & NFT TICKET OPERATIONAL FLOW (1/4)

What were traditional problems ?

- Fake tickets
- Scalping
- Uncontrolled resale
- Artist receives little or no value from resale market
- Lack of identity



Source: (Holmstrom, 2019)

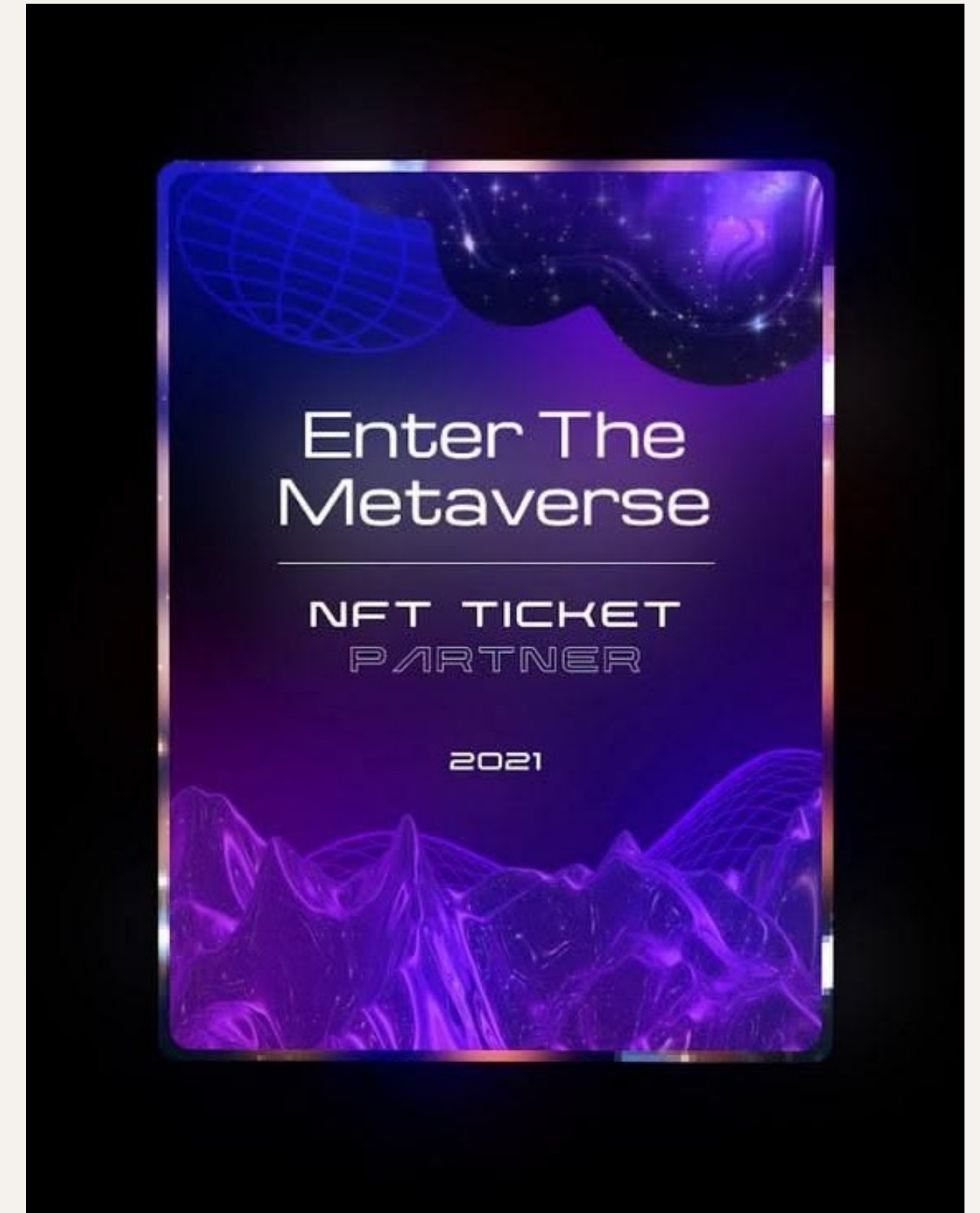




MANAGERIAL APPLICATION: RESALE OF EVENT TICKETS & NFT TICKET OPERATIONAL FLOW (2/4)

How can Blockchain solve these problems?

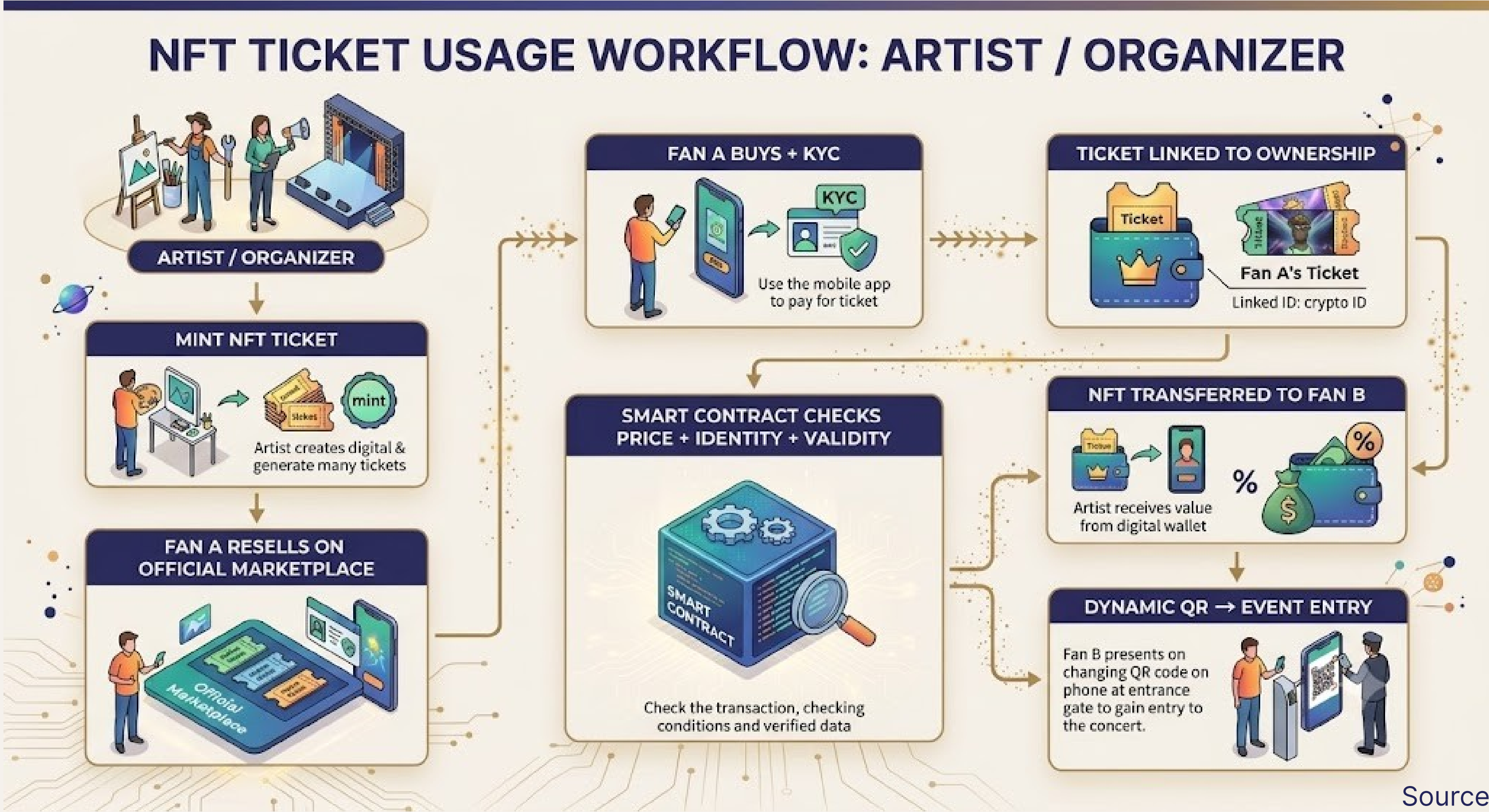
- NFT = verifiable ticket ownership
- Smart contract = programmable resale rules
- KYC = identity verification (Know Your Customer)
- Royalty = artist can receive part of resale revenue



Source: (Nugraha, A. A. L. P., Dewi, N. W. E. R., & Purnama, F. , 2025)

MANAGERIAL APPLICATION: RESALE OF EVENT TICKETS & NFT TICKET OPERATIONAL FLOW (3/4)

How Does It Work?



Source: (Regner et al., 2019)

MANAGERIAL APPLICATION: RESALE OF EVENT TICKETS & NFT TICKET OPERATIONAL FLOW

(4/4)

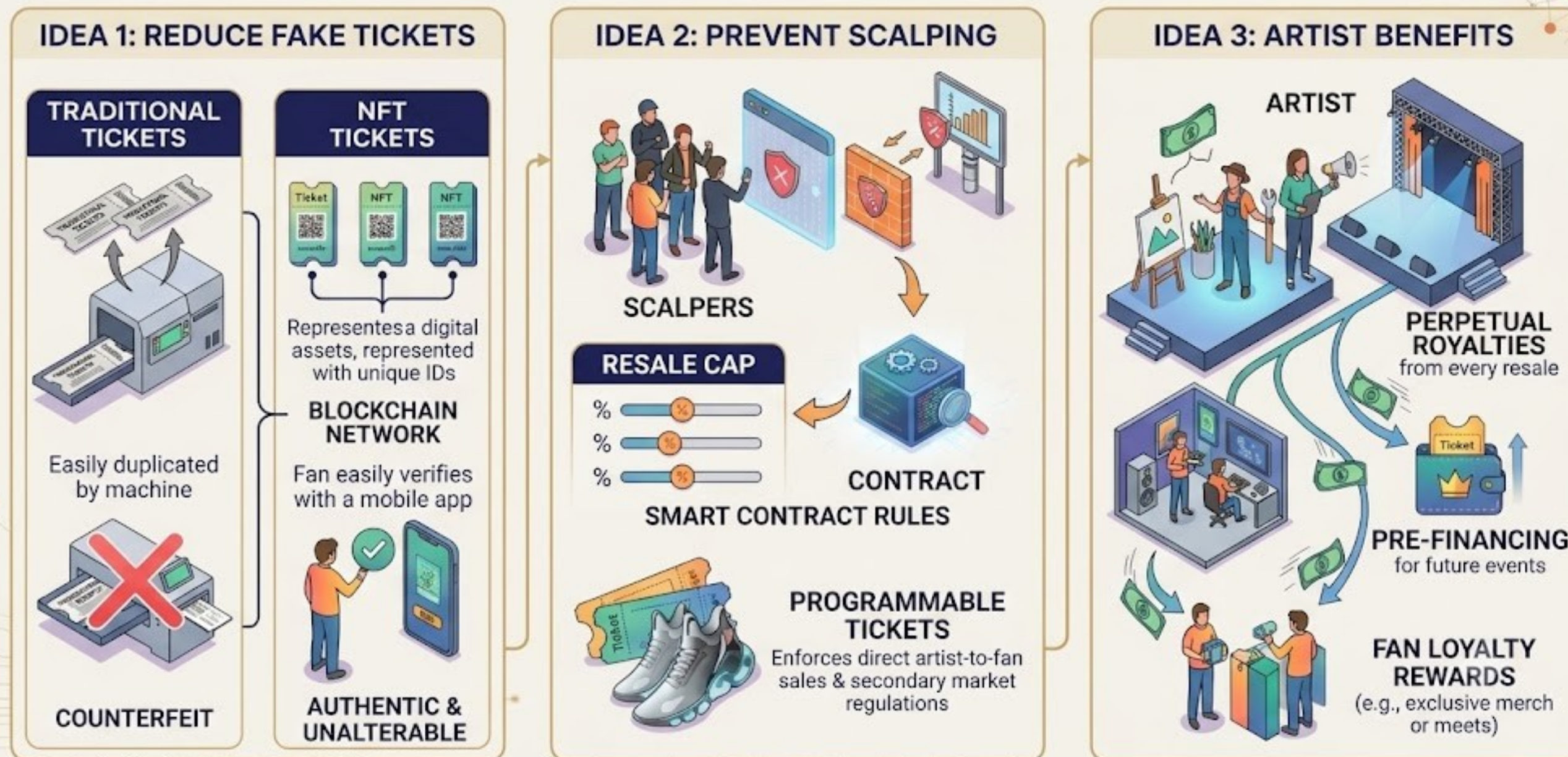


Does it reduce fake tickets?

Does it reduce scalping?

Does the artist benefit?

NFT TICKETS: SECURING EVENTS & BENEFITING ARTISTS



EFFICIENT UTILIZATION & LONG-TERM CHALLENGES (1/3)

EFFECTIVENESS OF BLOCKCHAIN APPLICATION

TRADITIONAL PROBLEM	BLOCKCHAIN APPROACH	EXPECTED RESULT
Fake Tickets	Each ticket has a verifiable digital record	Easier ticket authentication
Uncontrolled resale	Resale through an official marketplace	Easier ownership verification
Unclear ownership	Ownership transfers recorded on-chain	Artist can receive share of resale
Artist receive little/no resale revenue	Smart contract can include royalty rules	Better control of secondary sales

DEPENDS ON: REAL USERS → REAL EVENTS → REAL TRANSACTIONS → REAL REVENUE

SOURCE: DETI (2022); LE, KIM & JO (2019)

BLOCKCHAIN MUSIC STREAMING



BitSong (2/3)

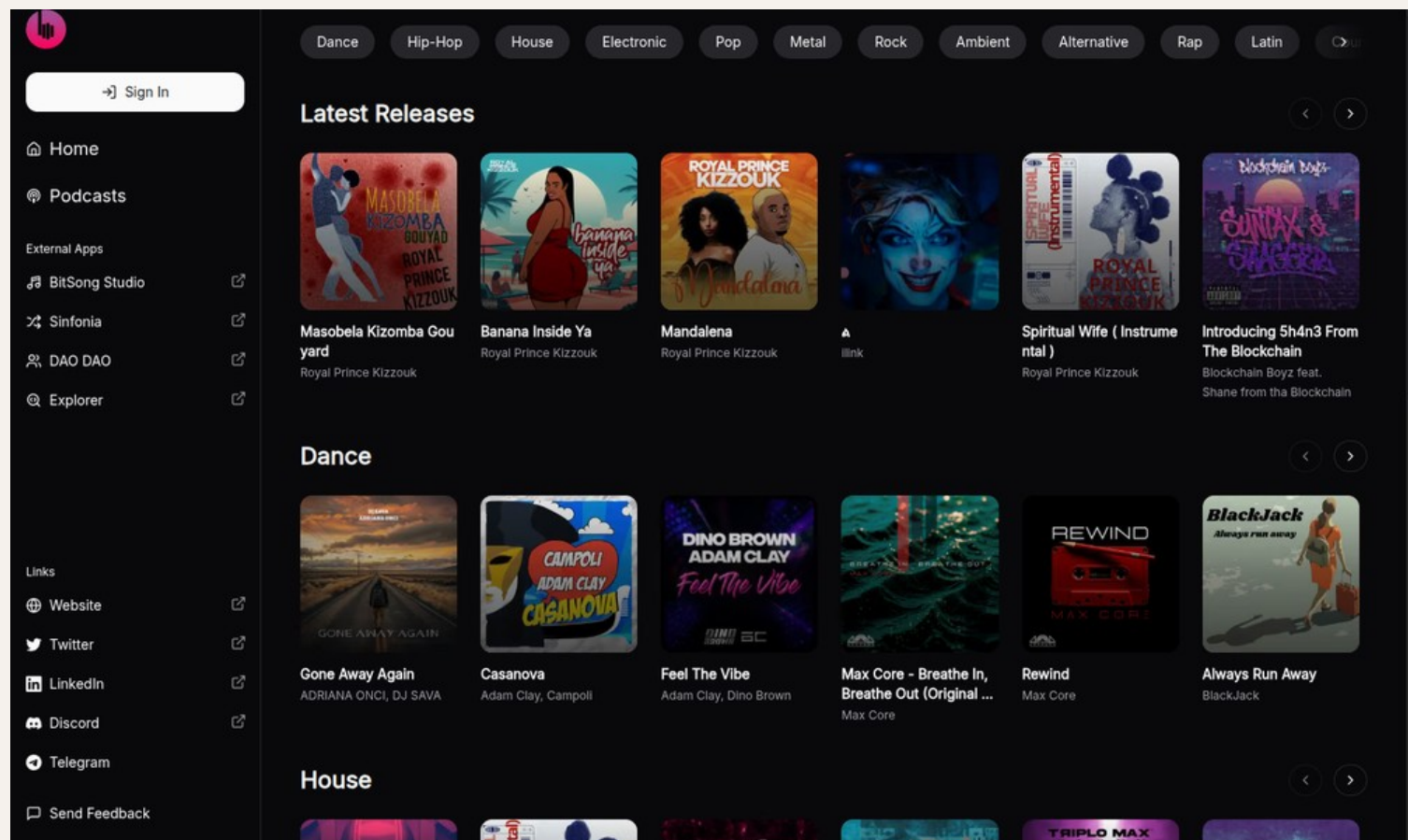
Problem solved?

- Lack of transparency in royalty management
- Dependence on intermediaries
- Difficulty tracking music usage

What evidence do we have?

- 3,000+ users
- ~2 million blocks
- 300%+ team growth

=> BitSong shows that blockchain has been applied to real music-industry activities and generated actual blockchain activity.



SOURCE: CENTORRINO, G., NACITI, V., & RUPO, D. (2023).

CAN THE SYSTEM BE MAINTAINED SUSTAINABLY ? (3/3)

TECHNICAL

- Blockchain security
- Smart contract security
- Scalability
- Transaction fees
- Wallet security

OPERATONAL

- KYC management
- Customer support
- Ticket verification
- Marketplace management
- System integration

LEGAL

- Copyright
- Consumer protection
- Data privacy
- Ticketing regulation
- Tax & financial regulation

ECONOMIC

- a source of revenue
- artists and fans
- Transaction and operating costs



**=> Long-term operation
requires addressing
four key areas**

HOW SHOULD THE BLOCKCHAIN OPTIMIZE IN THE PROCESS (1/2)



PROS

- ✓ Prevent ticket counterfeiting and duplication, and verify ownership
- ✓ Secondary market control and anti-scalping measures
- ✓ Reduce intermediary costs
- ✓ Enhance the fan experience and unlock new financial opportunities

CONS

- ✗ Challenges in preventing bots in the primary market
- ✗ User adoption barriers and cryptocurrency wallet requirements
- ✗ Legal challenges and the lack of a common framework





HOW SHOULD THE BLOCKCHAIN OPTIMIZE IN THE PROCESS (2/2)

- ➔ **Role & Functions of Blockchain**
 - ✦ Ownership Management & Ticket Anti-Counterfeiting
 - ✦ Implement business logic via Smart Contracts
 - ✦ Separation of duties between Public and Private Blockchain

- ➔ **Information & Tasks handled by Traditional Systems**
 - ✦ Privacy Protection & User Identity Management
 - ✦ Secondary database for real-time access authentication
 - ✦ Web Service & Payment Gateway

Source: Liu, M. L. (2021); Witanto (2026); Viskars G. (2023); DeMatteo (2025); Nanam, et al. (2021)

Q&A

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